

Introduction to Capital Budgeting

Capital Budgeting is a process of making investment decisions in long term assets.

Capital expenditure incurred today will give its benefits over a period of time.

Capital Budgeting is a process of deciding whether to invest or not to invest in any particular project. As a future project manager, you have to choose such a project which gives you high rate of return.

Techniques or methods of Capital Budgeting

Traditional Method

- (a) Pay-back period PBP
- (b) Accounting / Average rate of return ARR

Discounting cash Inflow method

- (a) Net present value NPV
- (b) Profitability Index PI
- (c) Internal rate of return IRR

Pay-back period method:

Pay-back period method is a simple method of evaluating investment proposals.

Pay-back period represents the no. of years required to recover original investment. This period is calculated by dividing the cost of the project by annual cash inflows after tax but before depreciation.

① When cash inflows are constant

$$PBP = \frac{\text{original cost of Investment}}{\text{Annual cash of Inflows}}$$

② When cash inflows are not constant

$$PBP = \text{lower year} + \left[\frac{\text{cost of Investment} - \text{Accumulated annual cash inflows of lower year}}{\text{AACI of upper year} - \text{AACI of lower year}} \right]$$

③ A project requires an investment of Rs. 50,000/- and it is expected to generate annual cash flows after tax of Rs. 20,000/- for 5 years. calculate pay back period

A)

$$PBP = \frac{\text{original cost of Investment}}{\text{Annual cash Inflows}}$$
$$= \frac{50000}{20000} = 2.5$$

PBP = 2 year 6 month

④ A project requires an investment of rupees 1 lakh. The project is expected to generate 1st year - 20,000/- , 2nd yr - 30,000 , 3rd - 50,000/- , 4th - 60,000/- at every end of the year. calculate pay back period.

u
uniform cash flows

A) calculation of pay-back period

PBP =

year	Cash Inflows	Accumulate Annual Cash Inflows
1	20,000	20,000
2	30,000	50,000
3	50,000	1,00,000
4	60,000	1,60,000
5	50,000	2,10,000

PBP = 3 years

Accounting / Average rate of return:

This method is based on accounting profits and takes into account the earnings expected from the investment over the entire lifetime of the asset. The various projects are ranked in order of rate of return. The project with high rate of return is accepted.

$$ARR = \frac{\text{Average earnings}}{\text{Average investments}} \times 100$$

(a) Average earnings = $\frac{\text{Total earnings}}{\text{no. of years}}$

(b) Average investment

i) when there is no scrap value:

$$AI = \frac{1}{2} \times \text{Total investment}$$

ii) when there is scrap value:

$$AI = \frac{1}{2} (\text{Total investment} - \text{scrap}) + \text{scrap}$$

Q) A company is considering an investment proposal which has an investment of RS. 50,000/- The project has a life of 5 years with the scrap value of 4000 and the project is expected to generate profit after tax -
 1st yr - 5,000 2nd yr - 8,000 3rd yr - 9,000 4th yr - 8,000
 5th yr - 7,000 at the end of every year. Advise the firm whether to accept or not to accept under ARR technique.

Sol

$$ARR = \frac{\text{Average earnings}}{\text{Average investment}} \times 100$$

$$\text{Average earnings} = \frac{\text{Total earnings}}{\text{no. of years}} = \frac{5000 + 8000 + 9000 + 8000 + 7000}{5}$$

$$= \frac{37000}{5} = 7400$$

$$\text{Average investment} = \frac{1}{2} (\text{Total investment} - \text{scrap}) + \text{scrap}$$

$$= \frac{1}{2} (50000 - 4000) + 4000$$

$$= \frac{1}{2} (46000) + 4000$$

$$\frac{23000 + 4000}{2} = 27000$$

$$ARR = \frac{7400}{27000} \times 100$$

$$= 27.47\%$$

$$\therefore ARR = 27.47\%$$

Q) Determine the payback period and ARR for the following project.

Description	Adjusted cash Inflows
Initial cash outflow	3,50,000
1	1,00,000
2	80,000
3	70,000
4	95,000
5	1,15,000
5 th yr scrap	65,000

ununiform cash inflows

*** calculation of payback period and ARR

year	cash Inflows	Accumulate Annual cash Inflows
1	1,00,000	1,00,000
2	80,000	1,80,000
3	70,000	2,50,000
4	95,000	3,45,000
5	1,15,000	4,60,000

$$\text{PBP} = \text{lower year} + \left[\frac{\text{cost investment} - \text{Accumulated Annual cash inflows of LV}}{\text{AACIF (upper yr)} - \text{AACIF (lower yr)}} \right] \times 365$$

$$= 4 \text{ years} + \left[\frac{3,150,000 - 3,145,000}{4,160,000 - 3,145,000} \right] \times 365 \text{ days}$$

$$= 4 \text{ years} + \frac{5000}{115000} \times 365 \text{ days}$$

$$= 4 \text{ years} + \frac{5}{115} \times 365 \text{ days}$$

$$= 4 \text{ years} + 16 \text{ days}$$

$$\text{ARR} = \frac{\text{Average earnings}}{\text{Average investment}} \times 100$$

$$\text{Average earnings} = \frac{\text{Total earnings}}{\text{no. of yr}} = \frac{4,160,000}{5} = 92,000$$

$$\text{Average investment} = \frac{1}{2} (\text{Total investment} - \text{scrap}) + \text{scrap}$$

$$= \frac{1}{2} (3,150,000 - 65,000) + 65,000$$

$$= \frac{1}{2} (2,85,000) + 65,000$$

$$= 1,42,500 + 65,000 = 2,07,500$$

$$\text{ARR} = \frac{92,000}{2,07,500} \times 100 = 44.37\%$$

Q) A business has an investment proposal to start a new project at a cost of Rs 50,000/-

Year cash Inflows after tax

1	10,000
2	11,000
3	14,000
4	15,000
5	25,000

Evaluate the project by using pay back period and APR.

Year	cash Inflows after tax	AACI
1	10,000	
2	11,000	21,000
3	14,000	35,000
4	15,000	50,000
5	25,000	75,000

$$PBP = 4 \text{ yrs}$$

$$ARR = \frac{\text{Average earnings}}{\text{Average investment}} \times 100$$

$$AE = \frac{\text{Total earnings}}{\text{no. of yr}} = \frac{75,000}{5} = 15,000$$

$$AI = \frac{1}{2} \times 50,000 = 25,000$$

$$ARR = \frac{15,000}{25,000} \times 100 = \frac{3}{5} \times 100 = 60\%$$

Discounting cash Inflow techniques:

Discounting cash inflow methods are improved methods over traditional techniques. These methods consider the time value of money (Interest). They are also known as modern techniques of capital budgeting.

1] Net present value method

Net present value method considers the time value of money, the cash flows of different years are made comparable in terms of present value. For this, net cash inflows of various periods are valued differently by using a required rate of return which is predetermined taking into consideration the scrap value. If the present value of cash inflows exceeds the cost of investment accept the proposal else reject it.

$$\textcircled{1} \quad \text{NPV} = \text{PVCIF} - \text{cost of investment}$$

acceptable if positive

Present value of cash inflow

$$\text{PVCIF}_n = \frac{CF_1}{(1+r)^1} + \frac{CF_2}{(1+r)^2} + \dots + \frac{CF_n}{(1+r)^n}$$

C.F = cash inflow

r = rate of return

n = no. of years

$$\textcircled{2} \quad \text{Profitability Index} = \frac{\text{PVCIF}}{\text{cost of Investment}}$$

acceptable if more than 1

Q) A firm wants to earn 6% per annum on a particular project with the following cash inflows and investment on project is 1,70,000. You are required to recommend with NPV & PI.

A) calculation of NPV & PI

Year	cash Inflows	present value of rupee 1 at 6% OF	present value of cash flows
1	30,000	0.943	28,290
2	40,000	0.889	35,560
3	40,000	0.839	33,560
4	40,000	0.791	31,640
5	50,000	0.745	37,250
6	10,000	0.703	7030
	<u>2,10,000</u>		<u>1,73,330</u>

$$PVCIF = \left(\frac{1}{(1+9\%)} \right) + \left(\frac{1}{(1+9\%)^2} \right) + \dots + \frac{1}{(1+9\%)^n}$$

$$= \frac{1}{(1+9\%)^n} = \frac{1}{(1 + \frac{6}{100})^n} = \frac{1}{(\frac{106}{100})^n} = \frac{1}{(1.06)^n}$$

Problem	Year	cash flows
	I	30,000
	II	40,000
	III	40,000
	IV	40,000
	V	50,000
	VI	10,000

$$NPV = PVCIF - COI = 1,73,330 - 1,40,000 = +33,330$$

$$PI = \frac{1,73,330}{1,40,000} = 1.01 \text{ times}$$

Another method

$$PVCIF = \frac{30,000}{(1 + \frac{6}{100})^1} + \frac{40,000}{(1 + \frac{6}{100})^2} + \frac{40,000}{(1 + \frac{6}{100})^3} + \frac{40,000}{(1 + \frac{6}{100})^4} + \frac{50,000}{(1 + \frac{6}{100})^5} + \frac{10,000}{(1 + \frac{6}{100})^6}$$

Determine the NPV and PI for the following projects at a discount factor of 10% with initial investment of Rs. 8,50,000

Description	Cash Inflow
1	1,75,000
2	1,50,000
3	2,25,000
4	3,75,000
5	1,30,000
5 th yr	1,50,000
Scrap	

Determination of NPV and PI

Year	Cash Inflows	present value of rupee 1 at 10%	PVCF
1	1,75,000	0.909	1,59,075
2	1,50,000	0.826	1,23,900
3	2,25,000	0.751	1,68,975
4	3,75,000	0.682	2,55,750
5	1,30,000	0.620	80,600
5 th	1,50,000	0.620	93,000
	<u>12,05,000</u>		<u>8,81,300</u>

$$CF(1) = \frac{1}{(1+10\%)^n} = \frac{1}{(1+\frac{10}{100})^n} = \frac{1}{(1.1)^n}$$

$$NPV = PVCF - \text{cost of Investment}$$

$$NPV = 8,81,300 - 8,50,000 = +31,300$$

$$PI = \frac{PVCF}{CI} = \frac{8,81,300}{8,50,000} = 1.04 \text{ times}$$

Internal rate of return:

IRR method is also known as modern technique of capital budgeting and takes it account the time value of money.

In IRR the cashflows of the project are discounted at a suitable rate on trial method which equates NPV.

$$\text{IRR} = \frac{\text{Present value of cash inflow}}{\text{Present value of cash outflow}}$$

$$\text{IRR} = \text{lower rate} + \frac{P_1 - Q}{P_1 - P_2} \times D$$

P_1 = PVCLF at lower rate

Q = cost of capital investment

P_2 = PVCLF at higher rate

D = Difference in rate

Q. A firm has an investment opportunity of Rs. 50,000/-
The cost of capital is 10%. From the details given below,
find IRR, NPV, PI, PBP, ARR.

Year	Cash Inflows
1	5,000
2	10,000
3	15,000
4	25,000
5	30,000

Calculation of IRR

Year Cash Inflows

1	5000
2	10,000
3	15,000
4	25,000
5	30,000

$$\left(1 + \frac{10}{100}\right)^n$$

PV of Rs. 1 @ 10% D.F

10% D.F

0.909

0.826

0.751

0.682

0.620

4 (2x3)

PVIF

at 10

4345

8260

11,265

17,050

18,600

PVIF

(-) COI

NPV

59720

50,000

9,720

$$\left(1 + \frac{15}{100}\right)^n$$

PV of Rs. 1 at 15% D.F

15% D.F

0.869

0.755

0.657

0.571

0.495

PVIF

at 15

4345

7550

9855

14275

14850

PVIF

(-) COI

NPV

50,875

50,000

875

$$\left(1 + \frac{20}{100}\right)^n$$

PV of Rs. 1 at 20% D.F

20% D.F

0.833

0.694

0.578

0.482

0.401

PVIF

at 20

4165

6940

8670

12,050

12,030

PVIF

(-) COI

NPV

43,855

50,000

-6,145

$$PVIF = \frac{1}{\left(1 + \frac{15}{100}\right)^n}$$

$$PVIF = \frac{1}{\left(1 + \frac{20}{100}\right)^n} = \frac{1}{(1.2)^n}$$

$$IRR = 15 + \left(\frac{50,875 - 50,000}{50,875 - 43,855} \right) \times 5 = 15 + 0.623 = 15.623 = 15.62\%$$

② NPV

$$NPV = PVCIF - COI = 59720 - 50,000 = 9720$$

③ PI

$$PI = \frac{PVCIF}{COI} = \frac{59720}{50,000} = 1.194 \text{ times}$$

④ PBP

calculation of PBP & ARR

Year	Cash Inflows	AACIF
1	5000	5000
2	10000	15000
3	15000	30000 LV
4	25000	55000 UV
5	30000	85000

$$PBP = \text{Lower year} + \left[\frac{COI - AACIF(LV)}{AACIF(UV) - AACIF(LV)} \right] \times 365 \text{ days}$$

$$= 3 \text{ yrs} + \left[\frac{50,000 - 30,000}{55,000 - 30,000} \right] \times 365$$

$$= 3 \text{ yrs} + \left[\frac{20,000}{25,000} \right] \times 365 \text{ days} = 3 \text{ yrs} + 292 \text{ days}$$

$$= 3 \text{ yrs } 9 \text{ month } 22 \text{ days}$$

$$ARR = \frac{\text{Average Earnings}}{\text{Average Investment}} \times 100$$

$$\text{Avg Earnings} = \frac{\text{Total earnings}}{\text{no. of years}} = \frac{85,000}{5} = 17,000$$

$$\text{Avg Investment} = \frac{1}{2} (\text{Total investment}) = \frac{1}{2} (50,000) = 25,000$$

$$ARR = \frac{141000}{251000} \times 100 = 56\%$$

Q) Rank the following projects under payback and ARR, NPV, PI, IRR cost of capital 10%

Description	project x	project y
Initial investment	20,00,000	25,00,000
1	3,50,000	7,50,000
2	4,00,000	6,50,000
3	6,50,000	5,50,000
4	7,50,000	8,50,000
5	6,00,000	4,50,000
5 th yr scrap	5,00,000	6,00,000

sol) calculation of PBP and ARR

year	Project x cash inflows	AACIF	Project y cash inflows	AACIF
1	3,50,000	3,50,000	7,50,000	7,50,000
2	4,00,000	7,50,000	6,50,000	14,00,000
3	6,50,000	14,00,000	5,50,000	19,50,000
4	7,50,000	21,50,000	8,50,000	28,00,000
5	6,00,000	27,50,000	4,50,000	32,50,000
5 th	5,00,000	32,50,000	6,00,000	38,50,000

$$PBP_x = 3 + \left[\frac{20,00,000 - 14,00,000}{21,50,000 - 14,00,000} \right] \times 365 \text{ days}$$

$$= 3 \text{ yrs} + \left[\frac{6,00,000}{7,50,000} \right] \times 365 \text{ days} = 3 \text{ yrs} + 292 \text{ days}$$

= 3 yrs 9 months 22 days

$$(PBP)_y = 3 + \left[\frac{25,00,000 - 19,50,000}{28,00,000 - 19,50,000} \right] \times 365 \text{ days}$$

$$= 3 \text{ yrs} + \{ 236 \text{ days} \}$$

$$= 3 \text{ yrs} + 7 \text{ months} 26 \text{ days}$$

$$(ARR)_x = \frac{\text{Average Earnings}}{\text{Average Investment}} \times 100$$

X

$$\text{Average Earnings} = \frac{\text{total earnings}}{\text{no. of years}} = \frac{27,50,000}{5} = 550,000$$

$$AI = \frac{1}{2} (TI - \text{scrap}) + \text{scrap} = \frac{1}{2} (20,00,000 - 5,00,000) + 5,00,000$$

$$= \frac{1}{2} (15,00,000) + 5,00,000 = 7,50,000 + 5,00,000$$

$$AI = 12,50,000$$

$$(ARR)_x = \frac{550,000}{12,50,000} \times 100 = 0.44 \times 100 = 44\%$$

Y

$$AE = \frac{32,50,000}{5} = \frac{650,000}{5} \quad 130,000$$

$$AI = \frac{1}{2} (25,00,000 - 6,00,000) + 6,00,000$$
$$= 29,50,000 + 6,00,000 = 25,50,000$$

$$ARR = \frac{130,000 \cdot 650,000}{15,50,000} \times 100 = 0.419 \times 100$$
$$= 41.9\%$$

calculation of IRR for X

$$\left(1 + \frac{10}{100}\right)^n$$

$$\left(1 + \frac{20}{100}\right)^n$$

Year	Cash Inflows	PV of Rs. 1 at 10% DF	PVIF at 10	PV of Rs. 1 at 20% DF	PVIF at 20
1	350,000	0.909	318150	0.833	291550
2	4,00,000	0.826	330400	0.694	277600
3	6,50,000	0.751	488150	0.578	375700
4	7,50,000	0.682	511500	0.482	361500
5	6,00,000	0.620	372000	0.401	240600
5 th	5,00,000	0.620	310000	0.401	200500
		PVIF	2330200	PVIF	1747450
		- COI	2000000	- COI	2000000
	NPV	3,30,200		NPV	-252,550

$$(NPV)_x = 3,30,200$$

$$(P.I.)_x = \frac{23,30,200}{20,00,000} = 1.165 \text{ times}$$

$$IRR = \text{lower rate} + \left(\frac{P_1 - P_2}{P_1 - P_2} \right) \times 10$$

$$= 10 + \left(\frac{23,30,200 - 20,00,000}{23,30,200 - 17,47,450} \right) \times 10$$

$$= 10 + \left(\frac{3,30,200}{5,82,750} \right) \times 10 = 15.60\%$$

calculation of NPV for X

Calculation of IRR for Y

Year	Cash Inflows	PV of Rs.1 at 10% DF	PVCF at 10	PV of Rs.1 at 20% DF	PVCF at 20
1	1,50,000	0.909	681750	0.893	624750
2	6,50,000	0.826	536900	0.694	451100
3	5,50,000	0.751	413050	0.578	317900
4	8,50,000	0.682	599700	0.482	409700
5	4,50,000	0.620	279000	0.401	180450
5 th	6,00,000	0.620	372000	0.401	240600

PVCF 28,62,1400

01 25,00,000

NPV 3,62,1400

$$P.I = \frac{28,62,1400}{25,00,000}$$

P.I = 1.144 times

IRR =

10 +

$$\left(\frac{28,62,1400 - 25,00,000}{28,62,1400 - 22,24,700} \right) \times 10$$

IRR = 15.68%

INTRODUCTION TO FINANCIAL ACCOUNTING

Accounting:

According to accounting standards, Accounting is the art of recording, classifying and summarizing the data in significant manner in terms of money and financial character interpreting the result thereof.

Accounting principles:

Journal:

Journal is a daybook or a primary book or a diary record of transaction book where all the transactions are recorded in chronological order. It is a book of original entry.

Basic Accounting rules:

① Personal Accounting rule:-

Debit the Receiver A/c
Credit the Giver A/c

- (a) Transaction of natural person Ex: Rama, Sita, Lakshman etc.
- (b) Transaction of Artificial persons Ex: Bank, Financial institutions, organisation

② Real Account rule:-

Debit what comes in
Credit what goes out

- (a) transaction of Tangible assets

Ex: Land & Building, furniture, computer, sales, purchases, machinery, equipment, etc.

(b) Transaction of intangible assets

ex: Good will, copyrights, trademarks

③ Nominal Account rule:

Debit all Expenses & losses
credit all Income & gain

(a) Debit all expenses & loss
To cash/Bank

(b) cash
credit all Income & gain

Journalize
Q) Generalize the following transactions in the books of
Srinivas.

- On 1st/30 1 $\frac{6}{22}$ commenced business with rupees two lacs
- on 2 $\frac{6}{22}$ cash deposited into bank 1 lakh ₹
- on 4 $\frac{6}{22}$ purchased goods from Ajay 80,000/-
- on 5 $\frac{6}{22}$ purchased goods for cash 40,000/-
- on 7 $\frac{6}{22}$ Sold goods to Ram for cash 1 lakh ₹
- on 8 $\frac{6}{22}$ Sold goods to Abhinav for cash 60,000/-
- on 10 $\frac{6}{22}$ purchased furniture for cash 50,000/- (P.A.R)
- on 15 $\frac{6}{22}$ cash withdrawn from bank 25,000/- (P.A.R)
- on 20 $\frac{6}{22}$ purchased stationery 4000/- (N.A.R)
- on 30 $\frac{6}{22}$ paid wages 30,000/- (N.A.R)

Journal Entries In the books of Seemiva

Date	Particulars	LF	Debit	Credit
1 $\frac{6}{22}$	Cash a/c Dr To capital (Being Business started)		2,00,000 -	- 2,00,000
2 $\frac{6}{22}$	Bank a/c Dr To cash a/c (Being cash Deposited into Bank)		1,00,000 -	- 1,00,000
4 $\frac{6}{22}$	purchases a/c Dr To Ajay a/c (Being goods purchased from Ajay)		80,000 -	- 80,000
5 $\frac{6}{22}$	Purchases a/c Dr To cash a/c (Being cash purchases made)		40,000 -	- 40,000
7 $\frac{6}{22}$	Cash a/c Dr To sales a/c (Being cash sales made to Ram)		1,00,000 -	- 1,00,000
8 $\frac{6}{22}$	Cash a/c Dr To sales a/c (Being cash sales made to Abhinav)		60,000 -	- 60,000
10 $\frac{6}{22}$	Furniture a/c Dr To cash a/c (Being furniture purchased)		50,000 -	- 50,000

Date	Particulars	LF	Debit	Credit
15 $\frac{6}{22}$	Cash a/c Dr To Bank a/c (Being cash withdrawn from bank)		25,000 -	- 25,000
20 $\frac{6}{22}$	Stationery a/c Dr To cash a/c (Being stationery Exp meet)		4000 -	- 4000
30 $\frac{6}{22}$	wages a/c Dr To cash a/c		30,000 -	- 30,000

Q) Journalise the following transactions in the books of ABC company

- On 1 $\frac{1}{23}$ commenced business with 12,50,000/- (PAR)
- On 2 $\frac{1}{23}$ opened bank a/c in B.O.M 10,00,000/- (PAR)
- On 3 $\frac{1}{23}$ purchased goods from mohan 2,00,000/- (PAR)
- On 4 $\frac{1}{23}$ Purchases bought goods for cash 50,000/- (RAR)
- On 5 $\frac{1}{23}$ returned goods to mohan 15,000/- (PAR)
- On 7 $\frac{1}{23}$ sales sold goods for cash 3,00,000/- (RAR)
- On 10 $\frac{1}{23}$ sold goods to Sriram 90,000/- (PAR)
- On 13 $\frac{1}{23}$ goods returned by Sriram 10,000/- (PAR)
- On 20 $\frac{1}{23}$ purchased furniture 80,000/- (PAR)

on 26 $\frac{1}{23}$ purchased computer 60,000/- paid advertisement 4,000/- , paid electricity bill 1,000/-
 on 30 $\frac{1}{23}$ Salaries paid through cheque 1,00,000/-
Interest received from bank 5,000/-
 on 31 $\frac{1}{23}$ Cash withdrawn from Bank for Office purpose 20,000/-

Journal Entries in the books of ABC company

Date	Particulars	LF	Debit	Credit
1 $\frac{1}{23}$	cash a/c Dr To capital (Being Business started)		12,50,000 -	- 12,50,000
2 $\frac{1}{23}$	Bank a/c Dr To cash a/c (Being cash deposited into bank)		10,00,000 -	- 10,00,000
3 $\frac{1}{23}$	purchases a/c Dr To Mohan a/c (Being goods purchased from Mohan)		2,00,000 -	- 2,00,000
4 $\frac{1}{23}$	purchases a/c Dr To cash a/c (Being cash purchases made)		50,000 -	- 50,000
5 $\frac{1}{23}$	Mohan a/c Dr To purchase Returns (Being goods returned to Mohan)		15,000 -	- 15,000

Date	Particulars	LF	Debit	Credit
7 $\frac{1}{23}$	cash a/c TO sales a/c (Being cash sales made)	Dr	3,00,000 —	— 3,00,000
10 $\frac{1}{23}$	^{ram} Srih a/c TO sales a/c (Being cash sales made to Sriram)	Dr	90,000 —	— 90,000
13 $\frac{1}{23}$	Sales Returns TO Sriram a/c (Being goods returned by Sriram)	Dr	10,000 —	— 10,000
20 $\frac{1}{23}$	furniture a/c TO cash a/c (Being furniture purchased)	Dr	80,000 —	— 80,000
26 $\frac{1}{23}$	Computer a/c TO cash a/c (Being computer purchased)	Dr	60,000 —	— 60,000
26 $\frac{1}{23}$	Advertisement a/c TO cash a/c (Being paid for Advertisement)	Dr	4,000 —	— 4,000
26 $\frac{1}{23}$	Electricity a/c TO cash a/c (Being electricity bill paid)	Dr	1,000 —	— 1,000

Date	Particulars	LF	Debit	Credit
30 $\frac{1}{23}$	Salaries a/c TO Bank a/c (Being salaries are paid)	Dr	1,00,000	1,00,000
30 $\frac{1}{23}$	Cash a/c TO Interest Received (Being Interest received)	Dr	5,000	5,000
31 $\frac{1}{23}$	Cash a/c TO Bank a/c (Being cash withdrawn from bank)	Dr	20,000	20,000

Ledger :

Ledger is a book that contains several accounts. The process of preparation of accounts from journals into ledgers are called posting.

Ex:

Cash a/c

Date	Particulars	J F	Am't	Date	Particulars	J F	Am't
1 $\frac{1}{23}$	'To' capital		12,50,000	21 $\frac{1}{23}$	'By' Bank		10,00,000
7 $\frac{1}{23}$	TO Sales		3,00,000	4 $\frac{1}{23}$	By Purchases		50,000
30 $\frac{1}{23}$	TO Int received		5,000	20 $\frac{1}{23}$	By Furniture		18,000
31 $\frac{1}{23}$	TO Bank		20,000	26 $\frac{1}{23}$	By Computer		60,000
				26 $\frac{1}{23}$	By Advt		4,000
				26 $\frac{1}{23}$	By Electricity		1,000
				26 $\frac{1}{23}$	By bal dd →		4,14,200
				31 $\frac{1}{23}$			15,75,000
2 $\frac{2}{23}$	TO bal		15,75,000				

Trial Balance :

Trial Balance is a statement that consists of various ledger account balances. A trial balance must agree as on any given date (particular date)

Accounts appearing on both sides of Trial Balance :

Rule	Debit Item	Credit Item
Nominal	Debit Expenses & loss	Income gains
Real A/c	All assets Land & Building, plant & machinery, equipment, computer, furniture, purchases purchases Sales returns	loan, financial loan capital sales Purchase returns
Personal	All customer Debtors Bills Receivable	All Suppliers creditors Bills Payable capital

Q) From the following ledger balances prepare trial balance of Vikram Foundary works as on 31-03-2023
Electricity - 14,000/- , Interest (Dr) - 16,000 , Interest (Cr) - 16,000 , Land - 1,40,000 , discount (Cr) - 6,000 , Sales - 8,00,000 , wages - 50,000 , purchases returns - 10,000 ,

stock - 20,000, creditors - 60,000, Rent - 24,000, Capital - 3,102,000
 (stock is an inventory - it is an asset)
 Bills payable - 15,000, purchases - 3,00,000, office expenses - 30,000, Sales Returns - 20,000, Buildings - 4,00,000, Furniture - 15,000, Salaries - 90,000, Debtors - 60,000, power, gas and water - 30,000.

Sol

Trial Balance as on 31/3/2023 of Vikram foundry works

particulars	Debit Amt	Credit Amt
electricity	14,000	—
Interest (Dr/cr)	16,000	16,000
Land	1,40,000	—
Discount	—	6,000
Sales	—	8,00,000
wages	50,000	—
purchases returns	—	10,000
stock	20,000	—
creditors	—	60,000
Rent	24,000	—
Capital	—	3,102,000
Bills payable	—	15,000
purchases	3,00,000	—
office expenses	30,000	—

Particulars	Debit Amt	Credit Amt
Sales returns	20,000	—
Building	4,00,000	—
Furniture	15,000	—
Salaries	90,000	—
Debtors	60,000	—
Power, gas and water	30,000	—
	12,09,000	12,09,000

check and by adding all values then divide by 2 (Debit Half & credit Half)

Final Accounts

Final Accounts consists of two statements

- 1] Statement of Trading and profit and loss account
- 2] Statement of Balance sheet

Format

Statement of Trading and profit and loss account for the year ending _____ of _____

particular	Amount	Particular	Amount
To opening stock	xxx	By Sales — xxx	xxx
To purchases — xxx		By closing stock	xxx
(-) purchase returns xx	xxx		
To wages	xxx		
To Frieght			

Particulars	Amount	Particulars	Amount
TO carriage			
TO cargo	xx		
TO manufacture	xxx		
TO factory Rent	xxx		
TO			
TO Gross profit	xxx		
	xxx		xxx
I <u>TO Administration</u>	xxx	By Gross profit	xxx
TO office salaries	xx	By Interest Received	xxx
TO office expenses	xx	By Rent Received	xxx
TO General expenses	xx	By commission	xxx
TO printing and stationery	xx	By Deposits from customers	xxx
TO General Insurance	xx		
TO Rent & Rates	xx		
II <u>TO Repair & Maintenance</u>			
TO Repair	xx		
TO Depreciation	xx		
III <u>TO Selling & Distribution</u>			
TO Agent commission	xx		
TO Traveller salaries	xx		
TO carriage outward	xx		

Particular	Amount	Particular	Amount
To Bad debts	xx		
To provision for Bad debt	xx		
IV To financial Dept			
To Interest on capital	xx		
To Interest paid	xx		
To Discount allowed	xx		
(To Net profit transfer to Balance sheet)	xxx		
	xxx		xxx

Statement of Balance sheet as on _____ of _____

Liabilities	Amount	Assets	Amount
capital — xxx		cash in-hand	xxx
+ Net profit — $\frac{xx}{xxx}$		cash at bank	xxx
(-) Drawings — xx	xxxxx	Investment	xxx
		Debtors	xxx
		Bills receivable	xxx
creditors	xxxxx	closing stock	xxx
Bills payable	xxx	land & Buildings	
Bank loans	xxx	(-) Depreciation — xx	xx
Outstanding expenses	xxx	plant & Machinery xxx	
		(-) Depreciation $\frac{xx}{xxx}$	xx
		furniture	
		(-) Depreciation $\frac{xxx}{xxx}$	xxx